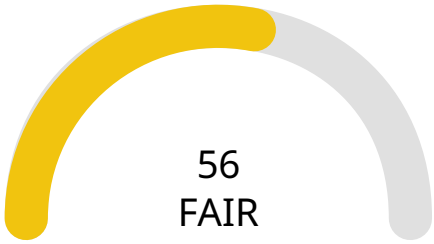
AVAV

AeroVironment, Inc. (NASDAQ)
As-of: 17-Oct-2026 | Latest Filing: Q1 FY27 (10-Q) | Currency: USD

$121.79 [Mkt 17-Oct-26]

Market Cap: $6.19B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 62

The dominant listed pure-play on US tactical drones and loitering munitions, now with BlueHalo's space and directed-energy portfolio and a record backlog. Offsets: GAAP unprofitable, adjusted EBITDA margin slipped to 11.1% in Q1, an $89M goodwill impairment on the cancelled SCAR program, and a disclosed material weakness in internal controls.

2. Recent Trend — 60

Q4 FY26 was a genuine blowout: 30% pro-forma revenue growth, 22% adjusted EBITDA margin, full-year adj EBITDA of $286M beating guidance. But Q1 FY27 organic revenue fell 3.5% ex-ESAero, Switchblade sales dropped $56.9M on order delays, and the Q3 restatement plus control failure dents confidence.

3. Forward Growth — 68

FY27 guide is sober: revenue up only ~10% with adjusted EPS essentially flat at $3.02-$3.34. Back-end loading depends on the spring 2027 defense budget. The pipeline is the bright spot: $1.5B funded backlog, LOCUST, Titan, P550, and the ~$1B FE-1 missile opportunity.

4. Valuation — 44

DCF base $84.26 implies 31% downside at $121.79. NTM P/E of 27.6x on flat EPS guidance and EV/Revenue of 3.1x NTM are full prices for 10% growth. The defense premium has outrun the fundamentals.

5. Catalysts & Risk 50

Near-term positives: defense budget funding in spring 2027, LOCUST and Titan production ramps, Q2 FY27 earnings showing organic recovery. Risks skew negative: appropriations timing, Switchblade delays, negative FY27 FCF on heavy CapEx, the internal-controls weakness, and valuation leaving no room for error. Risk-skewed.

Investment Thesis

- **Backlog Machine:** Funded backlog hit a record $1.5B [8-K guid], up 37% YoY, with $683M in Q1 bookings and a 1.4x book-to-bill. Demand for US tactical drones and counter-UAS is real and contracted.
- **Q4 Proved the Operating Leverage:** Q4 FY26: revenue up 30% pro forma to $642M, adjusted EBITDA margin snapped back to 22%, and full-year adjusted EBITDA of $286M beat the high end of guidance [8-K guid]. The volume-fixes-margins thesis finally showed up in numbers.
- **Right Business, Wrong Price:** At $121.79 [Mkt 17-Oct-26], the DCF base of $84.26 [Cons] implies 31% downside. FY27 growth is only ~10% with flat adjusted EPS [8-K guid], yet the stock prices a defense supercycle. Healthy company, stretched multiple.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q1 FY27)	$480.5M [8-K guid]	+5.7% [8-K guid]	Up
Adjusted EPS (Q1 FY27)	$0.59 [8-K guid]	+84% [8-K guid]	Up
Funded Backlog	$1.5B [8-K guid]	+37% [8-K guid]	Up
Adjusted EBITDA (Q1 FY27)	$53.4M [8-K guid]	-5.6% [8-K guid]	Down
FY2027 Revenue Guide	$2.175B mid [8-K guid]	+10% [8-K guid]	Flat
Free Cash Flow (Q1 FY27)	-$36M [8-K guid]	vs -$146.5M [8-K guid]	Up
Long-Term Debt	$730M [10-Q Q1 FY27]	n/a [n/a]	Flat

Historical Financial Trend

METRIC	FY23	FY24	FY25	TTM	FY27E
Revenue	$540.5M [10-K]	$716.7M [10-K]	$820.6M [10-K]	$2.0B [Mkt 17-Oct-26]	$2.175B [8-K guid]
Gross Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	26.5% [Mkt 17-Oct-26]	n/a [n/a]
Op Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	-2.3% (Q1 FY27) [8-K guid]	n/a [n/a]

Valuation

Absolute (3/10)

P/E (fwd) 27.6x [Cons]
DCF Base $84.26 [Cons]
EV/Revenue (NTM) 3.1x [Cons]

DCF implies 31% downside. Paying 27.6x forward earnings for a company guiding flat adjusted EPS is a steep price even for a defense compounder.

Versus Peers (4/8)

Defense primes trade ~15-20x forward earnings [Peers 17-Oct-26]

AVAV carries a premium to traditional primes on growth expectations, but FY27 guidance growth of ~10% does not justify the gap.

Versus History (4/7)

Shares fell over 40% YTD before the Q4 bounce [Cons]

The stock trades below its prior peaks but above its pre-BlueHalo multiple range; the defense premium expanded without earnings to match.

Catalyst Timeline

Nov 2026 [Cons]
Q2 FY27 Earnings (Two-Sided): Must show organic recovery after Q1's -3.5% ex-acquisition decline and the Switchblade order delays.

Spring 2027 [8-K guid]
Defense Budget Funding (Positive): Management assumes new defense budget funds their programs; a funding unlock de-risks the FY27 plan.

2026-2027 [8-K guid]
LOCUST and Titan Ramp (Positive): $465M Army

Top Risk Factors (Item 1A)

1. Appropriations Timing: Management's FY27 plan assumes the new defense budget funds its programs starting spring 2027. Any delay in appropriations pushes the back-half-loaded growth plan further out. [8-K guid]

2. Switchblade Volatility: Switchblade sales fell $56.9M in Q1 FY27 on order delays. The company's flagship loitering munition is lumpy and timing-dependent. [8-K guid]

3. Controls and Execution: The Q3 FY26 restatement included an $89M goodwill impairment on the cancelled SCAR space program plus a

> LOCUST award and $500M Titan IDIQ enter production; counter-UAS is the fastest-growing segment.

What Would Change Our Score

A Q2 FY27 quarter with organic revenue growth and Switchblade order recovery would lift Trend and Growth. A spring 2027 appropriations delay or another controls issue would confirm the Sell case and push the stock toward the $84.26 base.

disclosed material weakness in internal controls. New CFO is still settling in. [10-Q Q1 FY27]

Forward Growth Drivers

- Record $1.5B funded backlog, up 37% YoY, with 1.4x book-to-bill and $2.8B total funded plus unfunded backlog [8-K guid]
- Counter-drone and directed energy: $465M Army LOCUST contract plus $500M Titan IDIQ [8-K guid]
- BlueHalo acquisition adds space, cyber, and directed-energy portfolios to the core drone franchise [8-K guid]

Missing / Modified Data Log

- TTM gross and operating margins sourced from market data (yfinance); historical gross margin by year not in local dataset.
- Organic vs acquired revenue split for Q1 FY27 taken from earnings coverage (financialreportinsights.com); management did not disclose exact figure.
- Adjusted EPS and adjusted EBITDA reconciliation items (BlueHalo amortization, deal costs) noted qualitatively.

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